ECON 1001 – Spring 2026

Practice Midterm 1
(based on Fall 2025 actual Midterm 1)

Choose the best response based on the models we have studied in class. Each problem or subproblem is worth 4 points.

1) Consider the market for Crocs. In 2015, $P = 30$ and $Q = 1{,}000$. In 2025, $P = 70$ and $Q = 50{,}000$. Which of the following is true?
   a) Inflation caused the price increase between 2015 and 2025.
   b) These are two points on an upward-sloping demand curve.
   c) These are two points on different downward-sloping demand curves.
   d) The supply curve for Crocs shifted out, causing the price and quantity to increase.

2) "The Trump administration's tariffs are bad." This statement is:
   a) Positive and true
   b) Positive, though we can't say if true or false.
   c) Normative
   d) Negative

3) Amanda's favorite band was coming to town. Amanda knew the line to buy a $20 ticket would take two hours and the value of her time waiting in line is $25/h. Unfortunately, when she got to the front of the line, the $20 tickets were sold out (none were left). However, there was a $50 ticket for a seat in a better location (Amanda preferred that location). Amanda, who also acts rationally, would
   a) Not buy the $50 ticket.
   b) Buy the $50 ticket.
   c) Call the $20 ticket a sunk cost.
   d) [We can't say what she'd do because we don't know enough about Amanda's WTP for the better seat.]

4) Suppose at the beginning of the fall semester, you paid $5,000 for an unlimited meal plan at the cafeteria, which permits you to enter the cafeteria at any time to eat a meal. The marginal financial cost to you of eating a meal (that is, what you'd have to pay in dollars to eat there) at the cafeteria is
   a) Zero.
   b) Depends on how many times you eat at the cafeteria this semester.
   c) Depends on how much you like the food.
   d) Depends on how much a meal costs at an equally convenient location.

5) The production possibility frontier in Figure 1 (last page) shows how many additional points Lucien can get on his economics and psychology exams based on how he spends his time studying. The PPF
   a) Indicates the optimal number of hours for Lucien to study for psychology.
   b) Shows the tradeoff Lucien faces in studying psychology versus economics.
   c) Doesn't make any economic sense.
   d) Shows Lucien needs to study for both classes.

6) Nate bought a trumpet from Caleb for $50, even though Nate's WTP for the trumpet was $75. Thus
   a) The total economic surplus from this transaction was exactly $25.
   b) Caleb got a bad deal.
   c) Caleb enjoyed less economic surplus from this sale than Nate.
   d) The total economic surplus from this transaction was at least $25.

7) The cost-benefit principle is that "an individual does something only if the benefit of doing that thing is greater than (or equal to) the cost of doing it." [As usual, assume the individual has accurate information about the costs and benefits of their chosen action.] The cost-benefit principle ...
   a) Does not apply to decisions like going to visit your sick grandmother.
   b) Depends on whether demand is elastic.
   c) Only applies to business decisions.
   d) Leads a person to maximize their economic surplus.

8) Ewa buys widgets in the perfectly competitive market for widgets. When Ewa's income goes up, ceteris paribus,
   a) She buys fewer widgets.
   b) She buys more widgets, but we can't say how many more without knowing how the price changes.
   c) What happens depends on whether there are any close substitutes to widgets.
   d) She adjusts how many widgets she buys, depending on her income elasticity of demand.

9) On $1 Milkshake Day at that one milkshake shop near campus, the quantity of milkshakes bought and sold goes way up (compared to a typical day when the price is $7). That is explained
   a) As a shift in the market demand curve for milkshakes, because so many more people than usual go to the shop.
   b) By a fall in the cost to the shop of producing milkshakes.
   c) As a movement along the market demand curve.
   d) By the milkshakes sold being smaller than usual.

10) There is a new good called *Two-Year Tattoos*. Two-Year Tattoos are just like traditional tattoos, except they immediately disappear after two years. Some suppliers of traditional (permanent) tattoos start providing Two-Year Tattoos instead of traditional tattoos. As a result of the invention of Two-Year Tattoos, what happens in the market for traditional permanent tattoos?
   a) The market for two-year tattoos has no effect on the market for traditional tattoos.
   b) The equilibrium quantity and price of traditional tattoos both fall.
   c) The equilibrium quantity falls, but the effect on the equilibrium price depends on the relative size of the change in demand and supply.
   d) The price falls but the quantity stays the same.

11) Rebekah sells lemonade in a *perfectly competitive* market where P = 3.
   a) If Rebekah works harder, she could lower her price a bit (say to 2.5) and make more money.
   b) Rebekah could increase the price she charges, so long as demand is elastic at P = 3.
   c) She sells the quantity on her supply curve that goes with P = 3.
   d) Even though there is a large quantity demanded at P = 3, Rebekah doesn't sell more than her fair share of lemonade because she doesn't want to face increased competition from her competitors.

12) Rebekah sells 100 cups of lemonade in a perfectly competitive market where P = 3. Suppose Rebekah's fixed costs increase from 5 to 10. Then, ceteris paribus,
   a) Rebekah will sell fewer than 100 cups to make up for the higher fixed costs.
   b) Rebekah will sell more than 100 cups to make up for the higher fixed costs.
   c) Rebekah will continue to sell exactly 100 cups.
   d) Rebekah is completely unaffected by the increase in fixed costs: her profits will be the same.

13) Suppose you manage a Cookie Shop (in the perfectly competitive market for cookies), and you employ only high-school students. When the equilibrium wage for high-school workers increases,
   a) You move down your supply curve, supplying fewer cookies.
   b) You move up your supply curve, because the price has increased.
   c) Your supply curve shifts out and you sell more cookies.
   d) Your supply curve shifts in and you sell fewer cookies.

14) You run a Sandwich Shop (in a market that is not perfectly competitive). Your economist tells you that at the current price your customer's price elasticity of demand is elastic. If you lower the price a little,
   a) Total revenue will fall but total profits will increase.
   b) Total revenue will fall and total profits will fall.
   c) Total revenue will increase and total profits will increase.
   d) It's unclear whether total profits would increase or fall or stay the same.

15) Suppose the mayor in a certain city can choose Policy A, which would fix the bus station in the city center. Policy B would fix bus stops on the edges of town. Policy A would increase economic surplus by $100: $80 for Rich People, $20 for Poor People. Policy B would create economic surplus of $60: $30 for Rich People and $30 for Poor People. Suppose the mayor's sole concern is to help Poor People.
   a) He should choose Policy A because it is more efficient.
   b) He should choose Policy B because it is more equitable.
   c) If the mayor has the power to redistribute economic surplus without destroying economic surplus, then he should choose Policy A. If cannot redistribute, then he should choose B.
   d) It depends on whether equity-efficiency applies here.

16) Based *on the bottom two rows* in Rebekah's supply curve in Table 1, what is the arc elasticity? [You do NOT need to check my arithmetic.]

a) 1

b) $\frac{\frac{1}{2.5}}{\frac{1}{10.5}} = 4.2$

c) $\frac{\frac{1}{2}}{\frac{1}{10}} = 5$

d) $\frac{\frac{1}{3}}{\frac{1}{11}} \approx 3.67$

17) Over a period of time in Hannahland, the price of electric hybrid vehicles decreased while the number of electric hybrid vehicles sold increased. What happened?
   a) There was an increase in demand (i.e., the demand curve shifted out).
   b) There was definitely an increase in supply AND an increase in demand (i.e. both curves shifted out).
   c) There was definitely an increase in supply, though it's unclear whether the demand curve shifted in or out.
   d) The price of gas-powered vehicles was too high.

18) Suppose the market for widgets is perfectly competitive (and the markets meet all the other right conditions). Total economic surplus is maximized if
   a) Each widget supplier has the same *total costs*.
   b) Each demander who purchases a widget has the same *total benefits*.
   c) Suppliers and demanders are not overly greedy.
   d) [None of the above.]

19) Suppose the mayor wants to impose a $5-per-unit tax that affects consumer surplus and producer surplus equally. Which of the following accomplish that?
   a) A $2.50-per unit tax on demanders and a $2.50-per unit tax on suppliers.
   b) A "sin tax" on a good like cigarettes, alcohol, or unhealthy foods.
   c) A $5-per-unit tax on a good whose elasticity of supply equals the (absolute value of) the elasticity of demand.
   d) [None of the above.]

20) In Figure 2 (last page), what is the economic surplus at the competitive equilibrium?
   a) A + B + C + F + G + H + K + L + M
   b) A + B + C + F + G + K
   c) A + B + F + K
   d) A + B + C

21) In Figure 2 (last page), what is the producer surplus when there is a quota of 15?
   a) A + B + C
   b) F + G + K
   c) B + F + K
   d) B + C + F + G + K

22) In Figure 2 (last page), what is the deadweight loss if the government imposes a price floor of 13?
   a) D + E
   b) C + G
   c) A + C + G
   d) Can't say: It depends on whether the price ceiling is binding.

Free Response – Respond on the back of your bubble sheet.

23) Supply and demand for widgets are $Q_D = 5.5 - .5P$ and $Q_S = P - 2$.
   a) Diagram the situation. Be sure to label the supply curve, the demand curve, and the intercepts on the vertical axis (i.e., where the curves hit the price axis).
   b) What is the price at the equilibrium?
   c) Suppose the government imposes a price floor of $P = 9$. How many widgets will actually be sold?
   d) Suppose that instead of a price floor, the government imposes a tax of $3 per unit. What will the quantity Q_t be? (I.e., the quantity with the tax.)

24) The following table shows Ruari's **total benefits** associated with consuming various quantities of cookies. Fill in Ruari's demand table on your response sheet. [Assume that Ruari can only purchase whole numbers of cookies. That is, there are no fractional cookies. Also remember our class convention: if MB = MC, she buys it.]

Q	Total Benefit
1	10
2	18
3	24
4	28

Table 1: Rebekah's Supply

P	Q
9	1
10	2
11	3

Figure 1: Lucien's PPF

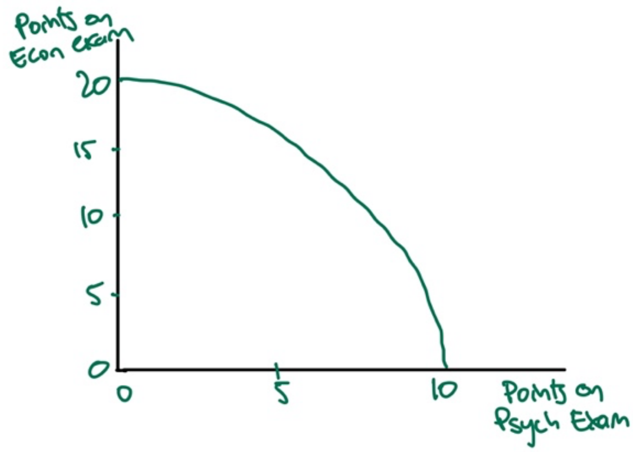

Figure 2: Surplus Shapes